

Retail Research	IPO Note
Sector: IT (High-end computing solutions)	Price Band (Rs): 475 - 500
17 th July 2023	Recommendation: Subscribe for long term horizon

Netweb Technologies India Limited

Company Overview:

Netweb Technologies India Limited is a Delhi based company that was established on September 22, 1999. Netweb stands as a prominent original equipment manufacturer (OEM) in India, specializing in high-end computing solutions (HCS). The company's extensive range of offerings includes supercomputing systems, private cloud and hyper-converged infrastructure (HCI), data center servers, artificial intelligence (AI) systems, enterprise workstations, and high-performance storage solutions.

Key Highlights:

HCS Offerings: Netweb is India's leading HCS provider with fully integrated design and manufacturing capabilities such as 1) High performance computing (Supercomputing / HPC) systems 2) Private cloud and hyperconverged infrastructure (HCI) 3) AI systems and enterprise workstations 4) High performance storage (HPS/Enterprise Storage) solutions 5) Data Centre servers 6) Software and services for HCS offerings.

Customers across various end-user industries: Netweb caters to marquee Customers across various end-user industries such as information technology, information technology enabled services, entertainment and media, banking, financial services and insurance (BFSI), national data centres and government entities including in the defence sector, education and research development institutions. Netweb also caters to an Indian Government space research organisation and an R&D organisation of the Ministry of Electronics and Information Technology, Government of India which is involved in carrying out R&D in information technology and electronics and associated areas including Supercomputing.

Manufacturing facility: Netweb operates its manufacturing facility located in Faridabad, Haryana (Manufacturing Facility) which is equipped with capabilities to (i) design, develop, manufacture, and test products, and (ii) cater to software and service portfolio. In addition they have a registered office in Faridabad, and have 16 offices across India.

PLI scheme benefits: Netweb is compliant with the 'Make in India' policy of the Government of India and is also one of the few OEMs in India eligible to seek production-linked incentives in terms of the Government of India's Production Linked Incentive Scheme for IT Hardware (IT Hardware PLI Scheme) for the manufacture of servers and the Production Linked Incentive Scheme for Promoting Telecom and Networking Products Manufacturing in India (Telecom and Networking PLI Scheme) for the manufacture of networking and telecom products.

Valuation: At upper band, the business is trading at P/E multiple of 59.7x FY23 EPS. The IPO looks fairly valued given the high return ratios and presence in high growth data center industry. Investor can SUBSCRIBE to the issue for long term investment horizon.

Issue Details	
Date of Opening	17 th July 23
Date of Closing	19 th July 23
Price Band (Rs)	475 – 500
Issue Size (Rs cr)	609 - 631
No. of shares	1,28,36,842 – 1,26,20,000
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	2,673 – 2,803
BRLMs	Equirus Capital Private Limited, IIFL Securities Limited
Registrar	Link Intime India Private Limited
Bid Lot	30 shares and in multiple thereof
QIB shares	40%
Retail shares	35%
NIB (HNI) shares	15%
Employee Reservation	20,000 Equity Shares
Employee Discount	Rs 25/equity for eligible employees

Objects of Issue	
	(Rs Cr.)
Gross Proceed From Fresh Issue	206
(Less) Fresh Issue related expenses	-
Net Proceeds*	-

For more details refer to RHP page no 122

Shareholding Pattern		
Pre Issue	No. of Shares	%
Promoter & Promoter Group	5,07,99,005	97.8
Public & Others	11,44,975	2.2
Total	5,19,43,980	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	4,22,99,005	75.2
Public & Others	1,39,81,817	24.8
Total	5,62,80,822	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	4,22,99,005	75.4
Public & Others	1,37,64,975	24.6
Total	5,60,63,980	100.0

Source: RHP, SSL Research

Risk factors

- The company's success is dependent on the long-term relationship with the Customers. In particular, they are heavily reliant on the top 10 Customers which contributed around 58% of the total revenue.
- The company derives a majority portion of its revenues from the business verticals of Supercomputing Systems (39% revenue) and Private Cloud and HCI (33% revenue). Loss or decline in the demand of such offerings may result in an adverse effect on the business, revenue from manufacturing operations, and financial condition.
- The company has had low-capacity utilisation in FY23, FY22, and FY21. Reduction in the actual production or inability to consistently achieve higher production could adversely affect the installed capacity utilization.
- The company does not enter into hedging transactions in respect of its foreign currency exposure. Any losses, on account of foreign currency exchange rate fluctuations, may adversely affect the business, results of operations and financial condition.
- The company depends on a few Application Industries for the majority of the revenue from operations. Loss of customers in these application industries may result in an adverse effect on the business, revenue from manufacturing operations, and financial condition.

Growth strategy

- The company is working on enhancing its manufacturing facility.
- Enhance its geographical expansion in Europe, the Middle east, and Asia.
- Deeping its penetration across verticals of Oil and Gas Sector, Automobile Sector, BFSI Cluster in the western region of India.
- Expand product portfolio by offering 5G and private 5G solutions and Network Switches.

Revenue from Operation

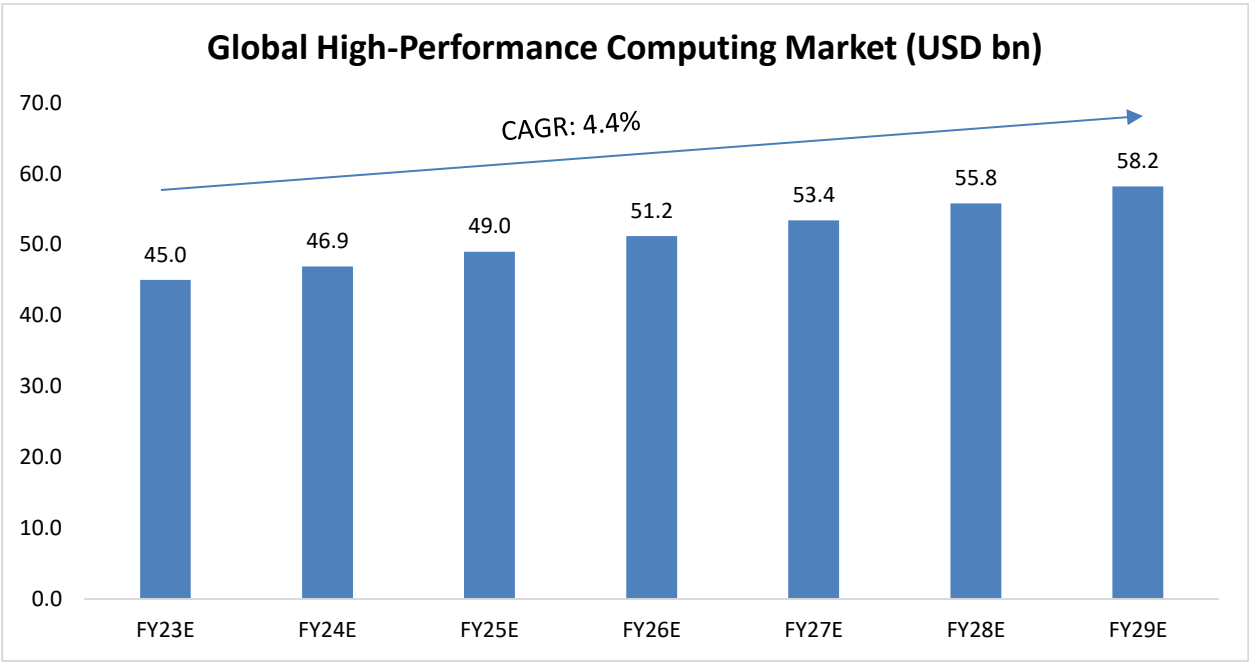
Business Verticals (Rs cr)	FY21		FY22		FY23	
	Revenue	% to Revenue	Revenue	% to Revenue	Revenue	% to Revenue
Supercomputing system	13.9	39.2%	103.0	41.7%	172.8	39.2%
Private cloud and HCI	40.5	33.1%	47.9	19.4%	146.1	33.1%
AI systems and enterprise workstations	14.6	7.0%	24.3	9.8%	30.9	7.0%
HPS solutions	33.6	7.0%	21.7	8.8%	30.8	7.0%
Data centre server	16.8	6.4%	24.1	9.8%	28.3	6.4%
Software and service -HCS offerings	2.5	2.2%	6.9	2.8%	9.5	2.2%
Spare and others	20.9	5.1%	19.2	7.8%	22.5	5.1%
Total	142.8	100.0%	247.0	100.0%	441.0	100.0%

Source: RHP, SSL Research

Industry Overview

Global High-Performance Computing Market

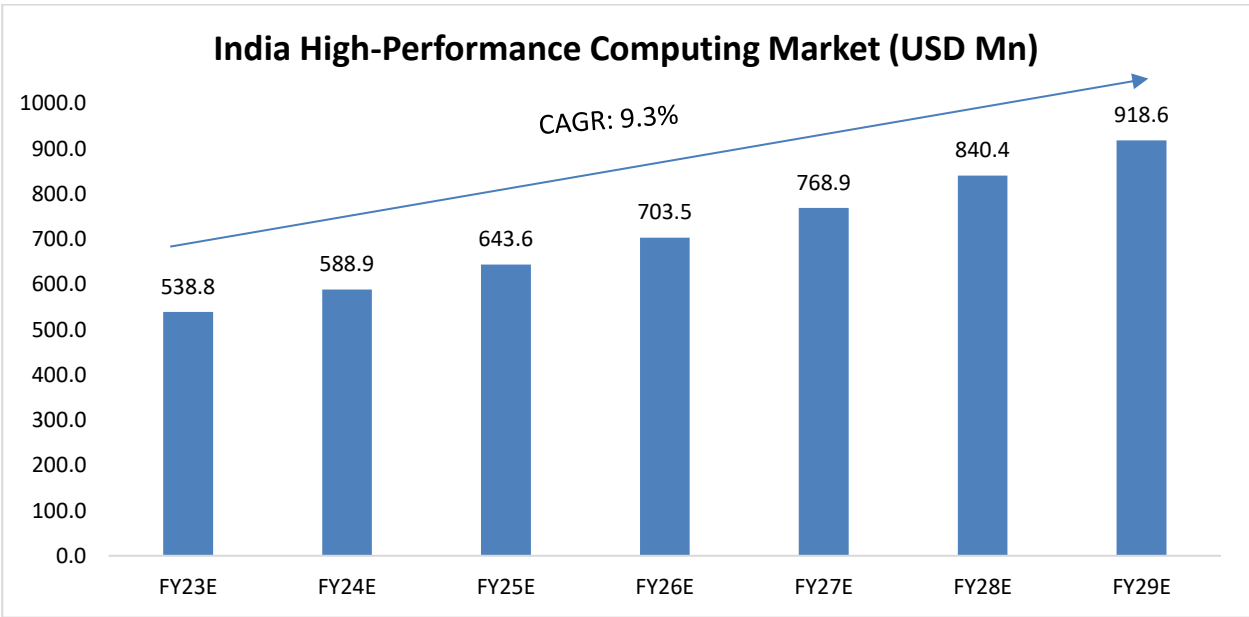
Global HPC market by computation type is segmented into parallel computing, distributed computing, and exascale computing. Parallel computing had the largest share in FY22 and is forecasted to reach USD 34.4 Bn by FY29 with a CAGR of 4.1% over the forecast period (FY23 - FY29)



Source: RHP, SSL Research

India High-Performance Computing Market

The India high-performance computing (HPC) market was USD 492.9 mn in FY22. The market is forecasted to be USD 538.8 Mn in FY23 and is expected to reach USD 918.6 mn by FY29 with a CAGR of 9.3% over the forecast period (FY23-FY29).



Source: RHP, SSL Research

Financial Snapshot

Netweb Technologies India Limited			
(Rs. Cr.)	Pre Issue	Post Issue	
	FY22	FY23	
Particulars		Price Band	
	475.0	475.0	500.0
Net Sales	247.0	445.0	445.0
Total Income	247.9	445.7	445.7
EBIDTA	34.6	70.0	70.0
PAT#	22.5	47.0	47.0
Equity Share Capital	5.7	11.3	11.2
No of Equity Shares	2.8	5.6	5.6
Face Value	2.0	2.0	2.0
EPS	7.9	8.3	8.4
CMP	475.0	475.0	500.0
Cash and Bank	7.5	13.6	13.6
Debt	34.5	35.6	35.6
Market Cap	1,343.8	2,673.3	2,803.2
BV per share (Rs)	15.7	53.2	53.5
PE(x)	59.8	56.9	59.7
P/BV (x)	30.3	8.9	9.4
Enterprise Value	1,370.7	2,695.3	2,825.2
Mcap/Sales (x)	5.4	6.0	6.3
EV/Sales (x)	5.5	6.1	6.3
EV/EBIDTA (x)	39.6	38.5	40.4
EBITDA Margins (%)	14.0	15.7	15.7
Net Margins (%)	9.1	10.6	10.6
ROE (%)	67.8	27.3	27.3
ROCE (%)	51.6	32.4	32.4
Debt/Equity	0.8	0.1	0.1
Net worth	44.4	299.7	299.7

Source: RHP, SSL Research (Post Issue)

Year	FY21	FY22	FY23
Net Sales	142.8	247.0	445.0
EBITDA	14.4	34.6	70.0
Net Profit	8.2	22.5	47.0
EBITDA Margin (%)	10.1	14.0	15.7
Net Profit Margin (%)	5.8	9.1	10.6

Source: RHP, SSL Research (Post Issue)

Peer Comparison

Rs cr	Netweb Technologies	Dixon Technology	DCX Systems	Kaynes Technologies
CMP	500.0	4320	276.0	1775.0
Sales (Rs cr)	445.0	12192	1254.0	1126.0
EBITDA (Rs cr)	70.0	513	84.0	168.0
Net Profit (Rs cr)	47.0	255	72.0	95.0
M.Cap (Rs Cr)	2803.2	25728	2673.0	10320.0
EBITDA Margin (%)	15.7	4	7	15
PE(x)	59.7	101.0	37.4	108.0
RoE (%)	27.3	22.4	20.9	16.4
RoCE (%)	32.4	25.8	13.1	17.0

(Source: RHP, SSL Research)

For Netweb Technologies India Limited: The data is calculated on post-issue market cap

For all others, the data is based on FY23.

CMP and Market Capital is as of 14th July 2023.

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